PRESS RELEASE

Saad Healthcare Agrees to Pay $3M to Settle False Claims Act Allegations That It Billed Medicare for Ineligible Hospice Patients

Friday, February 21, 2025

For Immediate Release

Office of Public Affairs

Note: View the settlement here.

Saad Enterprises Inc., doing business as Saad Healthcare, has agreed to pay $3 million to resolve allegations that it violated the False Claims Act by knowingly submitting false claims for the care of hospice patients in Alabama who were ineligible for the Medicare hospice benefit because they were not terminally ill.

Hospice care is special, end-of-life care intended to comfort terminally ill patients. Patients admitted to hospice care generally stop receiving traditional medical care designed to cure their terminal condition and instead receive medical care focused on providing them with relief from the symptoms, pain, and stress of a terminal illness. Medicare patients are considered to be terminally ill and hospice-eligible when they have a life expectancy of six months or less if their illness runs its normal course.

“Respectful and appropriate end-of-life care is the crux of the hospice benefit under Medicare,” said Principal Deputy Assistant Attorney General Brett A. Shumate of the Justice Department’s Civil Division. “The Department will hold accountable those who exploit this benefit for their own gain.”

“Caring for terminally ill people is a responsibility the United States and the Medicare program take seriously,” said Acting U.S. Attorney Keith A. Jones for the Southern District of Alabama. “Patients and taxpayers deserve not to be cheated, and the Department of Justice will continue to protect them.”

The settlement resolves allegations that between 2013 and 2020 Saad submitted, or caused the submission of, false claims to Medicare for 21 patients who did not meet the eligibility requirements for the Medicare hospice benefit as defined by statute and regulation, despite Saad knowing the patients were ineligible for the Medicare hospice benefit.

The civil settlement resolved a lawsuit filed under the *qui tam* or whistleblower provision of the False Claims Act, which permits private parties to file suit on behalf of the United States for false claims and share in a portion of the Government's recovery. The *qui tam* lawsuit was filed by Melissa Wolff and Whitney Sims, former Saad employees, and is captioned *United States ex rel. Wolff & Sims v. Saad Enterprises, Inc.*, Case No. 1:19-cv-00040 (S.D. Ala.). Ms. Wolff and Ms. Sims will receive $540,000 in connection with the settlement.

The resolution obtained in this matter was the result of a coordinated effort amongst the Justice Department's Civil Division, Commercial Litigation Branch, Fraud Section; the U.S. Attorney's Office for the Southern District of Alabama; and the Department of Health and Human Services Office of Inspector General.

The investigation and resolution of this matter illustrates the government's emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement, can be reported to the Department of Health and Human Services at 800-HHS-TIPS (800-447-8477).

Assistant U.S. Attorney Nina Herring for the Southern District of Alabama and Trial Attorney Rory Skaggs of the Civil Division handled the matter.

The claims resolved by the settlement are allegations only and there has been no determination of liability.

Updated February 21, 2025

Topic

FALSE CLAIMS ACT

Components

Civil Division | USAO - Alabama, Southern

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